Solution

In the books of Rajan Ltd
Journal entries

(a) When shares are issued at par:

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Machinery A/c Dr.		6,00,000	
	To Jagan Traders A/c			6,00,000
	(Purchase of machinery)			
	Jagan Traders A/c Dr.		6,00,000	
	To Equity share capital A/c			6,00,000
	(Issue of 60,000 shares of ₹ 10 each fully paid)			

(b) When shares are issued at a premium of 50%

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Machinery A/c Dr.		6,00,000	
	To Jagan Traders A/c			6,00,000
	(Purchase of machinery)			
	Jagan Traders A/c Dr.		6,00,000	
	To Equity share capital A/c (40,000 × 10)			4,00,000
	To Securities premium A/c (40,000 × 5)			2,00,000
	(Issue of 40,000 shares of ₹ 10 each at a premium of 50%)			

Tutorial note

Computation of number of shares to be issued

Total amount = ₹ 6,00,000

Face value of the shares = ₹ 10

Premium = 50%; Therefore, premium amount = 10 × 50% = ₹ 5

Issue price = Face value + premium = 10 + 5 = ₹ 15

$$\text{Number of equity shares to be issued} = \frac{\text{Total amount}}{\text{Issue price}} = \frac{6,00,000}{15} = 40,000 \text{ shares}$$

Student activity 7.3

Collect the prospectus of three limited companies. Read them and identify the terms that you have learnt in this unit. Analyse the data and information given in them.

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